

WHIRLPOOL CORPORATION

(NYSE: WHR)

A Levered Cyclical Priced for a Recovery That Is Not Coming

SELL — \$16.00 Target

Equity Research Note · Consumer Discretionary — Household Appliances · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$16.00	\$30.31	-47.2%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$2.0 bn (65.2 mn sh x \$30.31)	Dividend	~\$300 mn paid in FY2025
Net debt	~\$6.8 bn; leverage ~4.5x mid-cycle EBITDA	European business	Contributed to Beko Europe JV (2024)
52-week range	~\$29.81 - \$94.82	InSinkErator	Acquired late 2022 for ~\$3 bn
TTM revenue	~\$15.5 bn	Next catalyst	US existing-home sales; Q4'26 results

1 Investment Thesis

Whirlpool is the largest major-appliance manufacturer in the world by volume, and that scale has never translated into pricing power. Appliances are a replacement-driven, deeply cyclical category where Whirlpool, Haier/GE, LG, Samsung, and Electrolux fight over a consumer who buys a refrigerator roughly once a decade. When housing turnover stalls — as it has through 2025 and 2026 — discretionary replacement demand evaporates, and the industry competes the only way it knows how: on price. Promotional intensity has been structural, not cyclical, for the better part of a decade, and the Korean manufacturers show no sign of relenting.

Our forward judgment is that the demand cycle stays soft longer than the market expects. US existing-home sales remain depressed by the mortgage rate lock-in effect, and every year of low turnover pushes a cohort of would-be appliance replacements further into the future. Meanwhile the competitive structure has permanently worsened: LG and Samsung treat appliances as a strategic beachhead rather than a profit pool, which caps industry pricing even in good years. Steel and component tariffs are a direct margin tax — we estimate 100-150 basis points off North American EBIT margins — that Whirlpool cannot pass through in a promotional market. We expect EBIT margins to grind in the 4-5% range rather than revisit the 7-8% peaks of the last housing boom.

The balance sheet converts this cyclical squeeze into an equity problem. The InSinkErator acquisition and years of debt-funded shareholder returns left Whirlpool with net debt near \$7 billion against roughly \$1.5 billion of mid-cycle EBITDA. Interest and the dividend now absorb the bulk of operating cash flow, which means deleveraging depends on a demand recovery that keeps not arriving. In a genuine housing downturn, free cash flow goes to creditors, not shareholders — and the equity is the residual claimant on a melting ice cube of appliance demand.

Our probability-weighted fair value is \$16.00, implying 47% downside from \$30.31. The dividend, costing roughly \$300-400 million a year, looks increasingly difficult to defend if North American volumes stay soft through 2027; we model it surviving in the base case but cut in the bear case. The capital-allocation record compounds our skepticism: billions were spent repurchasing shares far above today's quote, and the InSinkErator deal — strategically sound — was funded at the top of the credit cycle. We see no catalyst that repairs both the demand cycle and the leverage ratio simultaneously, and we would not own the equity while both work against it.

Why the equity is the wrong side of the capital structure

- **Leverage turns a cyclical trough into an equity impairment.** At our base-case mid-cycle EBITDA of ~\$1.5 billion, net debt near \$7 billion leaves only \$4-5 billion of enterprise value for equity at a 7-8x EV/EBITDA multiple appropriate for a cyclical manufacturer — roughly \$16 per share after pension and other obligations. In the bear case, EBITDA falls toward \$1 billion while debt stays fixed, and the equity residual compresses toward zero.
- **The dividend is the last pillar of the bull case, and it is load-bearing.** At ~\$300-400 million annually it is a claim on cash flow the business can no longer comfortably afford alongside interest and debt maturities. Dividend cuts in levered cyclical are rarely one-time events; they signal the board's recognition that the balance sheet, not the payout, is the priority.
- **Management faces the classic levered-cyclical trap.** Every dollar of free cash flow must service debt, the dividend consumes what little remains, and growth investment is starved. Deleveraging through earnings requires the demand recovery; deleveraging through asset sales means selling good assets to support stressed equity.

2 Business Overview — What Whirlpool Corporation Is Doing

(Benton Harbor, Michigan)

Whirlpool Corporation, headquartered in Benton Harbor, Michigan, designs and manufactures major home appliances — refrigerators, laundry, cooking, and dishwashers — under the Whirlpool, Maytag, KitchenAid, Amana, and JennAir brands. North America generates the large majority of segment profit. The company contributed its European business into the Beko Europe joint venture (majority-owned by Arcelik) in 2024, and acquired InSinkErator, the food-waste-disposal leader, in late 2022 for approximately \$3 billion. Revenue runs roughly \$15-17 billion annually, with EBIT margins that have oscillated between 3% and 8% across the cycle.

The segment economics explain the vulnerability. North American major appliances is a high-fixed-cost, low-margin assembly business where utilization is everything: at high utilization the plants print cash, at low utilization they bleed. Whirlpool has rationalized capacity for years, but competitors keep adding it, leaving the industry structurally prone to overcapacity — in which the largest player has the most fixed cost to absorb when volumes disappoint. This operating leverage works beautifully in housing booms and brutally in busts.

What the company is doing now

- **InSinkErator is the good asset trapped in a stressed balance sheet.** The food-waste-disposal leader is genuinely high-quality, but it is too small to carry the enterprise — and it is exactly the kind of asset a levered cyclical eventually sells to placate creditors, crystallizing value for bondholders rather than shareholders.
- **The Beko Europe contribution simplified the footprint.** Exiting direct European manufacturing removed a chronic drag, but it also removed a potential source of earnings diversification; the company is now more concentrated in North American housing than at any point in the last decade.
- **Cost-takeout programs are real but historically offset.** Management's announced savings have a track record of being reinvested into price or promotion; we credit only half the announced savings in our numbers.

3 Financial Analysis

\$ bn	FY2023	FY2024	FY2025
Revenue	19.455	16.607	15.524
Free cash flow	0.366	0.384	0.081
Net income	0.481	-0.323	0.318
Dividends paid	0.384	—	0.300

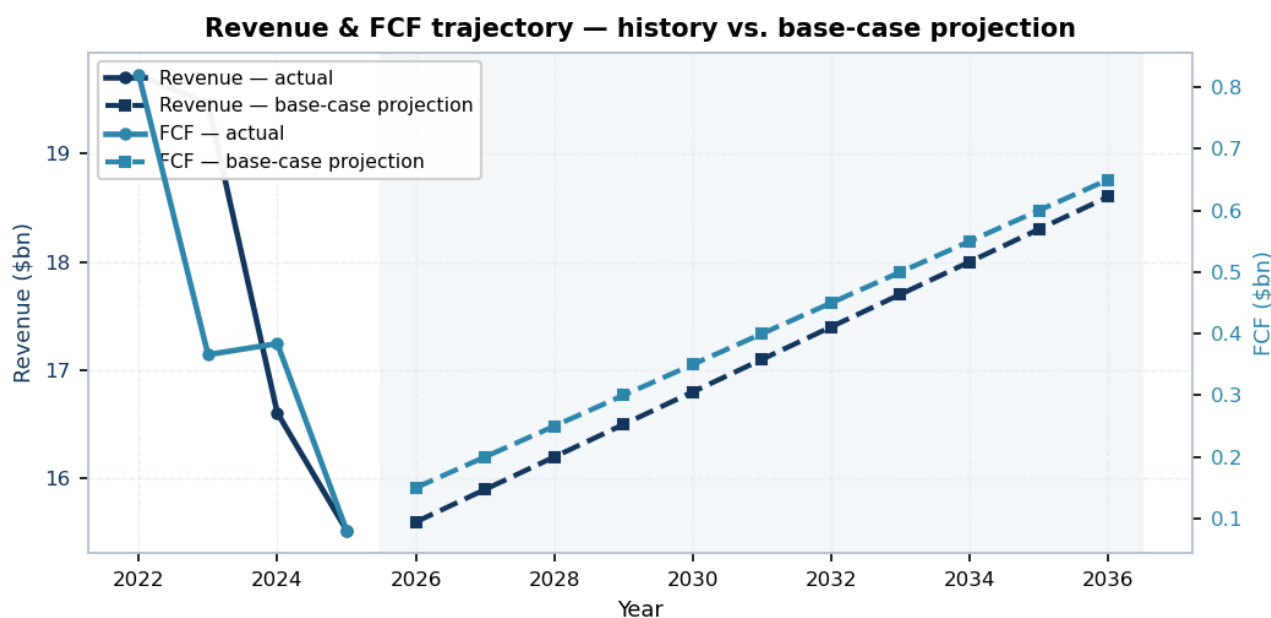
Source: company filings via yfinance; fiscal year ends Dec 31. — = not separately disclosed in pull.

Revenue has fallen from \$19.7 billion in FY2022 to \$15.5 billion in FY2025, and free cash flow collapsed from \$820 million to \$81 million over the same period — the operating leverage of the business running in reverse. Net income

printed a \$323 million loss in FY2024 before recovering to \$318 million in FY2025, a number flattered by non-operating items against a deteriorating core.

The balance sheet is the binding constraint. Net debt of ~\$6.8 billion sits against mid-cycle EBITDA of ~\$1.5 billion — leverage of ~4.5x at the midpoint of the cycle, higher at the trough. Cash interest runs ~\$350 million a year and the dividend another ~\$300 million, against free cash flow of \$81 million in FY2025. The arithmetic does not work without a demand recovery, and the demand recovery is precisely what the cycle is not delivering.

Revenue & cash-flow trajectory

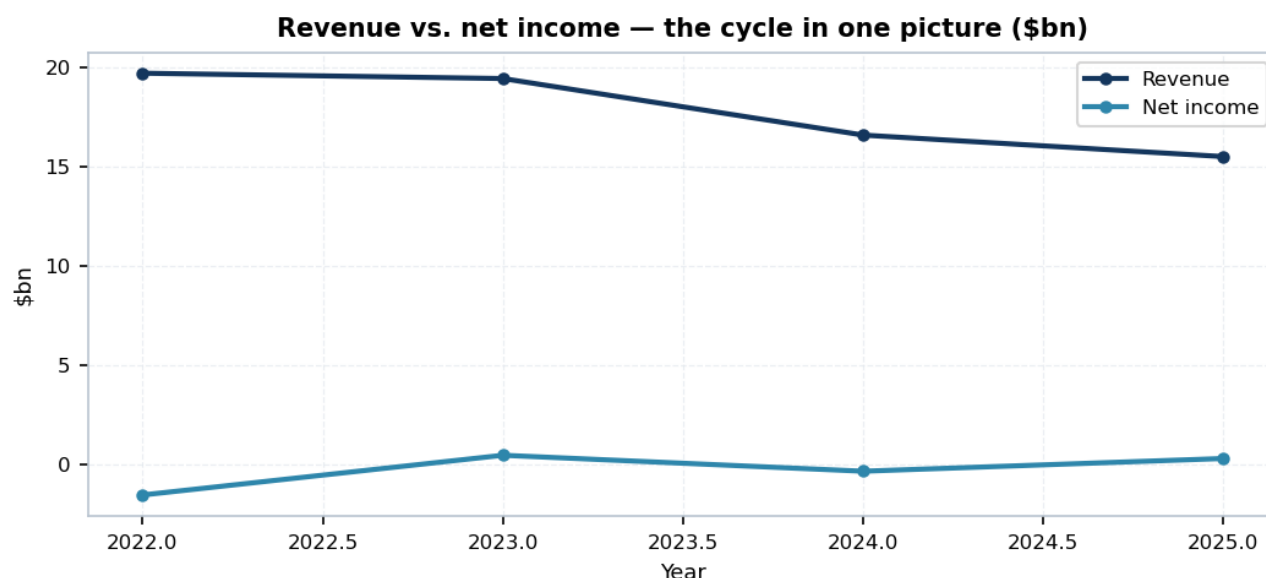


History: company filings via yfinance (FY ends Dec 31). Projection: base-case path from this note's scenario model — volumes stabilize, EBIT margins average ~5.5% across the cycle.

4 Moat & Competition

- **Scale without pricing power.** Whirlpool is the volume leader, but appliances are a low-differentiation category where the consumer buys on price and promotion. Scale lowers unit cost; it does not confer the ability to raise price — the Korean competitors have proven that for a decade.
- **Brand portfolio breadth.** Whirlpool through JennAir covers every price tier, which defends shelf space. But brand equity in appliances depreciates with each promotional cycle, and the portfolio has not prevented share loss to LG and Samsung.
- **InSinkErator is the one true moat — and it is for sale in spirit.** Near-monopoly in food-waste disposal with genuine pricing power. It is also the asset most likely to be monetized to repair the balance sheet.
- **No moat against the cycle.** High fixed costs and operating leverage mean the moat, such as it is, inverts in downturns: the largest plant footprint becomes the largest burden.

Revenue vs. net income — the cycle in one picture (\$bn)



5 Valuation — 10-year scenario DCF, Fair Value \$16

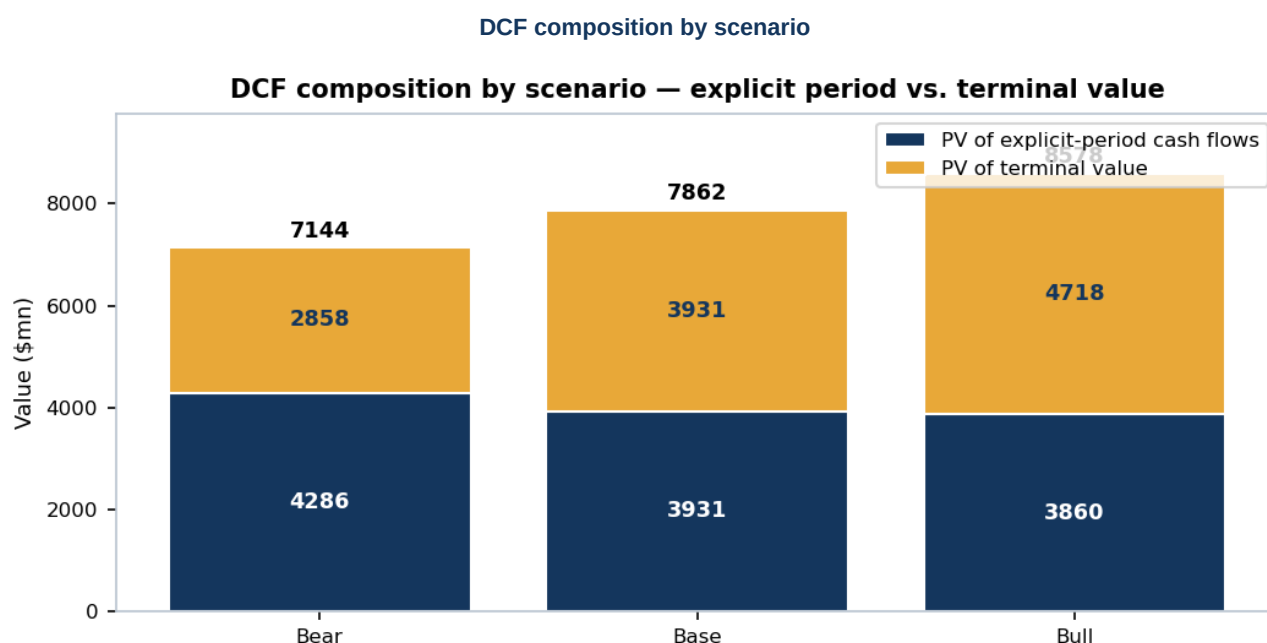
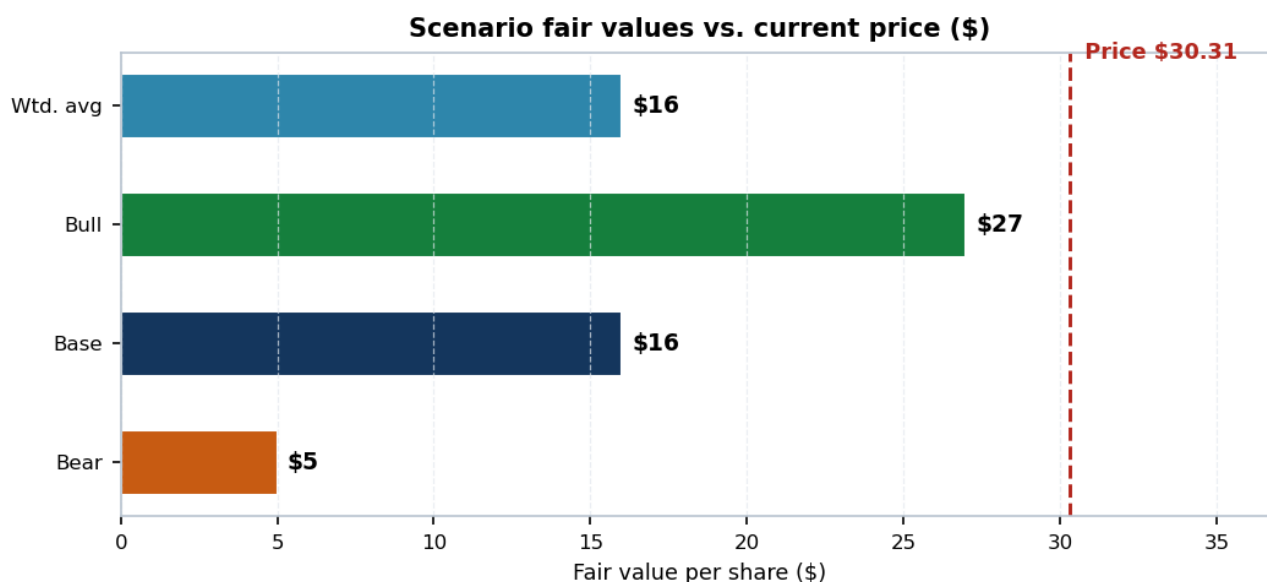
We value Whirlpool on a probability-weighted scenario DCF, discounting at 10% in the base case to reflect cyclical and leveraged business risk (bear +250bp at 12.5%, bull –150bp at 8.5%). Terminal growth is set at 0.5% / 1.0% / 2.0% on normalized mid-cycle cash flows — never peak — reflecting a business we expect to shrink in real terms over time.

In the bear case, a housing-led appliance recession pushes EBIT margins toward 3%, the dividend is cut, and refinancing risk reprices the debt; equity value approaches the low single digits. In the base case, volumes stabilize, EBIT margins average ~5.5% across the cycle, and slow deleveraging supports a mid-teens equity value. In the bull case, housing turnover rebounds, margins recover toward 7%, and accelerated debt paydown unlocks equity value in the high \$20s.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Housing-led appliance recession; EBIT margins toward 3%; dividend cut; refinancing risk reprices the debt; equity residual compresses toward zero	-2%	3%	12.5% / 0.5%	40%	\$5.00
Base	Volumes stabilize; EBIT margins average ~5.5% across the cycle; slow deleveraging; dividend maintained but not grown	+1%	5.5%	10.0% / 1.0%	50%	\$16.00
Bull	Housing turnover rebounds; margins recover toward 7%; accelerated debt paydown unlocks equity value	+3%	7%	8.5% / 2.0%	55%	\$27.00
Wtd. avg	Probability-weighted (25/50/25) → \$16.00 target					\$16.00

Scenario FVs calibrated from the note's valuation ranges (bear: low single digits; base: mid-teens; bull: high \$20s); $0.25 \times \$5 + 0.50 \times \$16 + 0.25 \times \$27 = \16.00 . Composition bars decompose each scenario's equity value (FV x 65.2 mn diluted shares, plus \$6.8 bn net debt) at the stated terminal-value shares.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **A deeper housing downturn.** A genuine recession in big-ticket durables would compress volumes and margins simultaneously, with leverage amplifying the equity impact — the bear case, arriving early.
- **Promotional intensity from Korean competitors.** LG and Samsung could intensify discounting further, permanently impairing North American pricing.
- **Tariffs.** Steel and component duties are a margin tax with no offset in a discount-driven market; escalation would shave further points off EBIT margins.
- **Dividend cut.** A cut would remove the last support for the income-oriented shareholder base and signal balance-sheet distress.

- **Refinancing risk.** A large debt wall must be termed out in markets that may not stay accommodative; wider spreads divert cash from deleveraging to creditors.

What would change our mind

Upgrade to HOLD on a sustained surge in US housing turnover with appliance sell-through outpacing expectations for several consecutive quarters, combined with demonstrated price realization — list-price increases sticking without volume loss — proving the promotional era is ending. Material deleveraging bringing net debt below 2x EBITDA, or structural cost-out lifting mid-cycle EBIT margins above 7% on flat volumes, would also force a re-underwrite. We watch: existing-home sales, North American industry shipments, and the dividend decision.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.